MAINS MASTER PROGRAM (MMP) 2024
ECONOMY-8; INDUSTRIAL POLICY

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2. INDUSTRIAL POLICY

1) INTRODUCTION

- Industrialisation is one of the essential condition of economic development of a country.
- Industrial policy acts as an instrument for bringing about a rapid economic transformation of the country through the process of industrialisation.
- Industrial Policy of a country is like economic constitution, which contains all aspects of future industrial development. It contains the policy regarding industrial location; policy regarding foreign capital, amount of protection to be provided to the domestic industries, policy regarding regional development and many other policy statements regarding other aspects of industrial development.
- The main objectives of the Industrial Policy of the Government are (i) to maintain a sustained growth in productivity;(ii) to enhance gainful employment;(iii) to achieve optimal utilisation of human resources; (iv) to attain international competitiveness; and (v) to transform India into a major partner and player in the global arena.
- The adoption of an Industrial Policy may become necessary in views of the following considerations: (i) To remedy the lop-sided development of the economy in order to obtain a pattern of balanced growth and stability: (ii) To redirect resources into channels that require more immediate attention for development; (iii) To conserve the resources of the country and to make a more judicious and economical use of them in order to make them last longer (iv). To distribute more property the advantages of increased production and industrialization; (v) To control the working of monopolies and combinations with a view to eliminate the exploitation of the consumers; and (vi) To put a stop to concentration of wealth and economic power in the hands of a few, and to ensure equality of opportunities to all.

2) THE INDUSTRY SCENE AT INDEPENDENCE

- Extremely underdeveloped industrial sector
- Composition of Manufacturing →
    a. Consumer goods dominated the industrial production (over producer goods)
    b. Domination of textile industry (60% of manufacturing output)
- Regional concentration → only a few states had industry and only a few sectors like sugar, textiles etc. dominated whole industrial output.
- Very weak Infrastructure.
- Structure of ownership was highly concentrated.
- Technical and managerial skills were in short supply.
- Export orientation had been against the country's interests.
- The lack of government intervention in favour of industrial sector was considered as an important cause of underdevelopment

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3) INDUSTRIAL POLICY RESOLUTION 1948

- The Industrial Policy Resolution of 1948 revolved around the following four salient characteristics of the state policy:
  - Explicit assumption of the responsibility by the government to promote, assist and develop industries in the national interests;
  - Recognition of the progressively active role of the public sector.
  - Keeping itself the inherent right on the state to acquire by industrial undertaking whenever public interests derived it;
  - Demarcation of the industrial field for the public and the private sectors
- <u>Salient Features</u>
- The whole industrial sector was divided into <u>four categories:</u>
  - <u>Industries with exclusive monopolies of central government</u> (strategic Industries)- arms and ammunition, atomic energy, railway transport
  - <u>Industries with Public and Private sector</u> (Basic / key Industries) - 6 industries (coal iron and steel, aircraft manufacturing, shipbuilding, manufacture of telephones, telegraph and wireless apparatus and mineral oils) were reserved for state. However, the existing private sector enterprises were allowed to continue.
  - <u>Industries with private sector under overall control of central government</u> (Important Industries) - 18 industries such as - automobiles, tractors, prime movers, electric engineering, heavy machinery, machine tools, heavy chemicals, fertilizers, cement, air and sea-transport etc.
  - <u>Industries not mentioned above were left open for private sector</u>
- <u>Limitations</u>
  - <u>Lack of Coordination</u>: There was lack of coordination between the centre and the state in regard to nationalization of industries. In a number of cases certain industries were nationalised earlier than was reasonable expected in terms of the industrial policy.
  - <u>Absence of Priorities</u>: There was misdirected enthusiasm about the nationalisation of industries without adequate resources and systematic priorities. This retarded the progress of industry.
  - <u>Management of State Enterprises</u>: An ambitious programme of setting up of new industries was contemplated in the Public sector without looking at their proper working and efficient administration. The person trained for civil services were usually found unfit for business administration. The training programme was also not coordinated with the actual requirements of the country.
  - <u>Defective Controls</u>: A vacillating policy of controls was followed resulting in great hardships to the common man on account of black marketing and corruption
  - <u>Absence of Enthusiasm in the Private Sector</u>: There was lack of enthusiasm and initiative in the private sector since the field of its activities was narrowed down by the industrial policy declaration and the industries (Development and Regulation) Act of 1951. This hindered

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capital formation in the country. There was an all-round feeling of uncertainty in the minds of industrialists.

4) INDUSTRIES (DEVELOPMENT AND REGULATION) ACT 1951

- It was enacted with a view to control and regulate the process of industrial development in the country and bring under central control a number of important industries, the activities of which affect the country as a whole
- The objectives the Act sought to accomplish were: (i) regulation of industrial investment and production according to plan priorities and targets, (ii) protection of small entrepreneurs against competition from large units, (iii) prevention of monopoly and concentration of ownership of industries, and (iv) balanced regional development with a view to reducing disparities in the levels of development in different regions of the economy.
- Salient Features
  - Registration industrial undertakings - All existing undertakings (not being central government) to register within prescribed period.
  - Licencing of Industrial undertakings - License from central government required to setup any new industrial undertakings. It prescribed a variety of conditions such as location, minimum standards in respect of size and technique etc.
  - Regulation of price, supply, distribution etc by central government

5) INDUSTRIAL POLICY RESOLUTION, 1956

- Background
  - The constitution of India was enacted, guaranteeing fundamental rights and enunciating directive principles of state policy.
  - The nation adopted planning as an organised basis for economic development.
  - Parliament accepted the socialistic pattern of society as the objective of socio-economic Policy.
  - The Industrial Policy Resolution of 1956 was meant to give a concrete shape to the "mixed economy model and the socialist pattern of society" ideology. Rapid Industrialisation within the framework of the socialist pattern of society accepted as the goal of economic and social policy.
- Salient features
  - The state was given the primary role for industrial development as capital was scarce and entrepreneurship not well developed.
  - Division of the Industrial Sector into 3 categories

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- Schedule A [monopoly of the state] - 17 industries to be government monopolies. Among them 4 to be complete government monopolies and in the remaining 13 industries, all new units were to be established by the state. However, existing units in the private sector were allowed to subsist and expand.
- Schedule B [Mixed Sector of Public and Private Enterprise] - In 12 industries the state would increasingly establish new units and increase its participation but would not deny the private sector opportunities to set-up units or expand existing units.
- Schedule C [Industries left for private sector] - Rest of industries left for private sector but public sector could always participate.

- Encouragement to Village and Small-Scale Enterprises by differential taxation or by direct subsidies
- Reduction of Regional disparities in levels of development (Fiscal concessions granted to open industries in the backward regions)
- Focus on improvement of working and living conditions of the workers and raising their efficiency.
- Emphasized protecting workers right

– Limitations
  - Public sector inefficiency leading to slowing down of rate of capital formation. It led to reduced investment in the economy.
  - Licence Raj created imbalances, enormous delays and corruption
  - Muffled private sector

6) INDUSTRIAL POLICY STATEMENT OF 1977

– Background
  - In 1977, Janata Party came to power.
  - It identified the following major shortcomings in the industrial growth of the country: (a) Increase in unemployment; (b) Widening of disparties between rural and urban growth; (c) Severe regional imbalances in industrialisation; and (d) Slackening of growth of industrial output as well as per capita income over the decade prior to their being elected.
  - In order to remove the above shortcomings and loopholes, it announced a new industrial policy.

– Salient Features
  - The major departure of Janata Industrial Policy from the past was its conscious tilt towards decentralisation of industry, encouragement of small scale industry, rural industry and employment generation.
  - Development of the small-scale sector → The principal thrust of the policy was the development of small scale and cottage industries.
    - Reservation of items - earlier 180, now 807 by 1978.

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        - Setting up of District Industries Centres (DICs)
        - Revamping the Khadi and Village Industries Commission
        - Development of Appropriate Technology for small and village industries.
    - Scope of large-scale industries were delineated
        - Large sector should be related to the minimum basic needs programme via dispersal of small and village industries.
        - The large-scale sector should generate its own finance for financing new projects or expansion of existing business
    - Expanding Role for the Public Sector → producer of strategic goods + supplier of goods to consumers
    - Promotion of Technological Self-reliance
- **Limitations**
    - Expansion of reserved list for small scale industries led to shortages of goods and rising prices
    - Confusion and uncertainty among large industries

7) INDUSTRIAL POLICY STATEMENT OF 1980

- The Congress (I) Government led by Mrs. Indira Gandhi came to power in 1980 and announced its Industrial Policy in July 1980
- Salient Features
    - Focus on integrated development of the small scale and large scale industries
    - Emphasis on economic federalism with the setting up of a few nucleus plants in each district, identified as industrially backward, to generate as many ancillaries and small and cottage units as possible.
    - Promotion of industries in rural areas
    - Removal of regional imbalances by encouraging industrial units in backward areas.
    - Promotion of rural industries to generate higher employment and higher per capita income.
    - Emphasised the revival of efficiency of public sector undertakings
    - Liberalisation of Industrial licensing
        - Automatic approval to increase capacity of existing units under MRTP and FERA
        - The asset limit under MRTP was increased

Key elements of economic strategy during the 1950s, 1960s, and most of the 1970s:
- Planning → done through successive FYP.
- Public Sector → The plans envisaged a leading role for the public sector in this structural transformation of the economy.
- Protection → Domestic industries protected from import competition (high tariffs on import; strict import licensing etc)

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- Industrial Licensing → For example - Under the Industries (Development and Regulation) Act of 1951, private firms had to apply for licenses to set up a new fac-tory, significantly expand the capacity or change the location of an existing factory, or to produce new products.
- Price controls

Shortcomings of the Pre 1991 Industrial Policy

- Poor performance of public sector enterprises.
- Barriers to entry into individual industries that limited the possibility of domestic competition;
- Indiscriminate and indefinite protection of domestic industries from foreign competition;
- The adverse effects of protecting small-scale industries and regional dispersal of growth on the choice of the optimal scale of production;
- Barriers to exit by not allowing firms, even when they were non-viable to close down, and the failure to move the resources to an alternative growing industry;
- Administrative hurdles inherent in a system of physical controls;
- Increased incentives for rent-seeking activities that resulted in dampening entrepreneurship;
- Little or no incentive to upgrade technology.

8) NEW INDUSTRIAL POLICY 1991

- **Salient Features**
    - Industrial Licensing Policy →
        - It was abolished for all industries with few exceptions
    - Foreign Investment Policy →
        - It was liberalised.
    - Foreign technology Agreement →
        - Automatic approvals for technology agreements were allowed for industries within specified parameters.
        - Indian companies were free to negotiate the terms of technology transfer with their foreign counterparts according to their own commercial judgements.
    - Public Sector Policy →
        - Reduced the number of industries reserved for public sector to three only (atomic energy, mining and railway operations).
        - Chronically sick public enterprises will be referred to Board for Industrial and Financial Reconstruction (BIFR) for the formulation of revival/rehabitation schemes.
    - MRTP Act, 1969 →
        - The MRTP Act was amended which eliminated the requirement of prior approval of central government for establishment of new undertakings, expansion of undertakings, merger amalgamation etc

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3. MANUFACTURING SECTOR IN INDIA

- Contribution to India's GDP → 16%-17%
- Employment → 27 million workers of the Indian labour force.
- Key characteristics of Indian manufacturing sector
  - Its contribution to GDP has been stagnant (16%-17%) for several years
  - its composition is more skewed towards skill and capital intensive activities.
  - Informalisation of formal manufacturing sector (the unorganised manufacturing sector accounted for almost 70 per cent of total manufacturing employment)
  - employment is heavily concentrated in small firms.

1) SIGNIFICANCE OF MANUFACTURING SECTOR:

- Economic Growth:
  - plays a key role in driving economic growth
  - A robust manufacturing sector stimulates other sectors of the economy, such as agriculture and services, through forward and backward linkages.
- Employment Generation:
  - especially for semi-skilled and skilled workers
  - provides opportunities for income generation, reduces unemployment, and contributes to poverty reduction.
  - E.g., the automotive industry
- Export Promotion:
  - For example - India is one of the world's largest exporters of generic drugs.
  - Foreign exchange earnings via exports improves countries trade balance
- Technological Advancements and Innovation:
  - The manufacturing sector promotes technological advancements and innovation, driving productivity and competitiveness.
  - For example - electronic manufacturing sector has witnessed significant technological advancements and innovation in India
- Supply Chain Development:
  - It stimulates the development of supply chains, involving suppliers, distributors, and service providers, which creates additional employment and business opportunities.
- Infrastructure Development:
  - Manufacturing necessitates the development of infrastructure, such as transportation networks, power supply, and logistics. This leads to improvements in overall infrastructure,

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benefiting various sectors and regions. For instance, the construction of industrial parks and special economic zones (SEZs) for manufacturing purposes has led to infrastructure development in previously underdeveloped areas.

- Attracting Foreign Direct Investment (FDI):
    - A vibrant manufacturing sector attracts foreign investment, which brings in capital, technology, and expertise. Foreign companies establish manufacturing facilities in India to tap into the domestic market and utilise the country's skilled labour force. Examples include global automotive manufacturers like Suzuki, Hyundai, and Honda, which have set up production facilities in India.

2) VARIOUS ISSUES PLAGUING MANUFACTURING SECTOR

- Archaic, restrictive and inflexible labour laws.
- Delays in Land acquisition due to complex regulations, unclear ownership, and resistance from local communities. It leads to delays and cost overruns
- Limited Investment in Research and Development (R&D) hampers the development of new products, processes, and technologies, reducing the sector's competitiveness.
- Poor Infrastructure - poor transportation networks, inadequate power supply, congested ports etc. It results in high logistic costs, making Indian products less competitive in the global market.
- Problem of Missing Middle - Very large number of small enterprise, less number of large scale manufacturing enterprise and near absence of mid-size firms
- Slow in Technology adoption
- Lack of access to affordable finance especially to small and medium size enterprises
- Impact of FTAs - The FTAs signed by India with the developed economies such as Japan, South Korea etc. have led to import of cheaper foreign goods and hence adversely impacted the domestic manufacturing.

3) GOVERNMENT INITIATIVES TO BOOST MANUFACTURING

- AtmaNirbhar Bharat: Vocal for Local
- Make in India Action Plan: Increasing the manufacturing sector's contribution to 25 percent of GDP by 2020.
- Production Linked Incentive (PLI) Scheme:
    - The purpose of the PLI Schemes is to attract investments in key sectors and cutting-edge technology; ensure efficiency and bring economies of size and scale in the manufacturing sector and make Indian companies and manufacturers globally competitive.

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    - Strategy: Offer companies incentives on incremental sales of products manufactured in India. The scheme also invites foreign companies to set up units in India and avail benefits.
- Other Schemes: Start-up India, Stand-up India, MUDRA, Schemes for development of MSMEs etc- National Manufacturing Competitiveness Program (NMCP), Zero Defect, Zero Effect etc.
- National Manufacturing Policy 2011: Create 100 million additional jobs by 2022
- Infrastructure development : National Investment and Manufacturing Zones (NIMZs), Special Economic Zones (SEZs), Industrial Corridors, Dedicated Freight Corridors, Sagarmala, Bharatmala etc.
- Policy Initiatives: Recent changes in definition of MSMEs; Consolidation of labour laws into 4 Labour Codes; Reduction in Corporate tax rates; Increase in FDI limits on various sectors such as Defence, Public Procurement Policy etc.

<u>Way Forward</u>

- Focus on Coastal Economic zones (CEZs): Port-led Industrialisation by fast tracking implementation of CEZs. Setting up of Coastal SEZs in China such as Shenzhen enabled it to attract manufacturing companies from Taiwan and Hong Kong; Need to replicate the same to attract the companies from China now.
- Focus on Sunrise Sectors based on new-age technologies such as blockchain, robotics, machine learning, big data, AI etc to leverage opportunities created by Industrial Revolution 4.0.
- Boosting Innovation through Start-Ups: Conducive ecosystem for nurturing and promoting start-ups through access to finance, handholding, tax incentives, access to market etc.
- Attracting foreign Investment through Plug and Play Model
- Facilitate Investment: Reforms in Public Sector Banks to enhance credit creation; Strengthen corporate Bond market; Improve financial position of NBFCs.
- Skilling India: Greater collaboration between government-industry-academia is required to identify the changing requirements in manufacturing and prepare an employable workforce. In the context of employability of engineers, there is a need for thorough review of standards of engineering education and its linkages with industry.

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4. MSME SECTOR

MSME Sector - Snapshot

– The MSME sector is universally regarded as an engine of economic growth and for promoting equitable development.
– MSMEs provide employment opportunities at comparatively lower capital cost and act as ancillary units for large enterprises to support the system in growth.
– Contribution to GDP → 30%

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- Contribution to manufacturing output → 45%
- Contribution to exports → 48%
- It provides employment to around 11 crore people
- As per the National Sample Survey (NSS) 73rd round, conducted by National Sample Survey Office, Ministry of Statistics & Programme Implementation during the period 2015-16, there were 633.88 lakh MSMEs in the country engaged in different economic activities (Micro sector 99%, Small Sector 0.52%, Medium Sector 0.01%).

<u>Issues and challenges to MSMEs</u>

- Formalisation - High degree of informality and nature of being unorganized or unregistered.
- Poor access to formal credit routes and expertise. As per the The Standing Committee on Finance report on 'Strengthening Credit Flows to the MSME Sector', credit gap in the MSME sector is estimated to be around Rs 20-25 lakh crore
- Lack of integration of digital technologies, such as big data, artificial intelligence and virtual reality, in business processes.
- Infrastructure bottlenecks → Inadequate availability of basic amenities such as work sheds, tool rooms, product testing laboratories, electricity, rural broadband and innovation hubs is acting as a deterrent to the growth of the sector.
- Inability to participate in the global value chain.
- Other challenges → Poor competitiveness; IPR related issues; Wasteful usage of resources/manpower. (Low Marginal productivity); Energy inefficiency and associated high cost; Low market penetration, Quality assurance/certification; Standardization of products and proper marketing channels to penetrate new markets.
- Pandemic has hit their forward and backward linkages. As per a survey conducted by the SIDBI, 67% of MSME were temporarily closed in FY21. Similarly, An online survey conducted by National Small Industries Corporation Ltd found that about 9 percent of micro, small and medium enterprises (MSMEs) have closed down as a result of the COVID-19 pandemic. The MSME faced the problems of liquidity; fresh orders; labour; logistics; availability of raw materials
- Renewed war, supply shocks and soaring fuel, food and fertilizer prices has raised cost of procurement.

Government Initiative for MSMEs:

- Prime Minister Employment Generation Programme (PMEGP): Financial Support for setting up of new MSMEs; Maximum Cost of project: Rs 25 lakhs
- ZED Certification Scheme: Financial support for manufacturing products which have Zero Defect and Zero Effect on Environment.
- Credit Guarantee Trust Fund for Micro & Small Enterprises (CGTSME): Collateral free loan up to a limit of Rs 1 crore is available for individual MSE on payment of guarantee fee to bank by the MSE.
- A Scheme for promoting Innovation, Rural Industry & Entrepreneurship (ASPIRE): One-time grant of 100% of the project cost or Rs 1 crore (whichever is lower) for promotion of innovation and entrepreneurship

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- National Manufacturing Competitiveness Programme (NMCP): Credit Linked Capital Subsidy for Technology Upgradation (CLCSS); Lean Manufacturing Competitiveness for MSMEs
- MSME SAMADHAAN: Portal to monitor the delays in the payments
- MSME-SAMBANDH: Portal to monitor public procurement policy
- TReDS Platform: Discounting of invoices for MSMEs from corporate buyers through multiple financiers.

4) U K SINHA COMMITTEE RECOMMENDATIONS ON MSME

- Institutional Framework: For convergence of various MSME related policies, National Council for MSMEs should be set up at apex level under Chairmanship of Prime Minister. States should have a similar State Council for MSMEs, for better co-ordination of developmental initiatives. Further, Ministry of MSME may consider setting up of a Non- Profit Special Purpose Vehicle (SPV) to support crowd sourcing of investments by various agencies particularly for conducive business ecosystem for MSMEs.
- Addressing delays in Payments to MSMEs by setting up a monitoring authority under the Development Commissioner, MSME. Majority of States have only one MSE Facilitation Council (MSEFC) which is not adequate to cater to delayed payment cases arising in the entire State. Hence, there is a need to increase the number of Facilitation Councils particularly in larger States.
- Expanding scope of GeM Portal: Government should make it mandatory for PSUs/ Government Department to procure from MSEs up to the mandated target of 25% through the GeM portal only. Further, the portal can be developed as a full-fledged marketplace enabling MSE sellers to procure raw material as well.
- Improving Ease of Doing Business: Presently, MSMEs must do multiple registrations with various entities such as Udyog Aadhaar portal, GSTN, National State Insurance Corporation (NSIC) etc. These needs to be replaced by making PAN as a Unique Enterprise Identifier (UEI) and the same should be used for various purposes.
- Capacity Building: Proposal to establish Enterprise Development Centers (EDCs) within District Industries Centers (DICs) has to be expedited; Provide handholding support to entrepreneurs in various aspects such as technical know-how, managerial skill, filling up of knowledge gap, etc.
- Focusing on MSME Clusters: MSME clusters should collaborate with companies having innovation infrastructure, R&D institutions and universities that specialize in a specific industry or knowledge area.
- Distressed Asset Fund: Assist units in clusters where a change in external environment, e.g., a ban on plastics or 'dumping' has led several MSMEs becoming NPA.

5. WHY THERE IS A NEED FOR NEW INDUSTRIAL POLICY IN INDIA

- A coherent industrial policy enables the government to deal with the emerging challenges. The advent of new technologies and changing labour market further make the ecosystem dynamic. Therefore, a number of structural and non-structural factors make the adoption of a new industrial policy necessary.

STRUCTURAL FACTORS :		
1.	Spurring Manufacturing Growth	• The manufacturing growth is necessary to generate economies of scale (Economies of scale refers to the benefits accrued by the industries due to increased production and lowering of costs). • It would help to embody technological progress and generate forward and backward linkages. • Manufacturing growth will also have positive spillover effects on the economy and act as engine of economic growth.
2.	Human Capital Formation	• Adequate human capital to support the industrial sector is the need of the hour. For instance, the growth of East Asian Countries was facilitated by investments in human capital complementing industrial policy.
3.	Generate Complementarities	• India is a capital-scarce country. Industrial Policy can help generate coordination between the limited investments across sectors and avoid competing investments. • For instance, lack of complementary investments in the telecom sector (such as-in the electronic hardware manufacturing) slowed profits. It finally resulted in a stagnation in growth of the sector and hampered penetration in the unserved rural areas.
4.	Ensure optimum scale of Industrial Capacity	• A coherent industrial policy will ensure that the industrial capacity is as close to the minimum efficient scale possible. Excess capacity leads to price wars, lower profits for companies and inefficient competition. While lack of adequate capacity leads to a lack of scaling up of small firms. • For instance, reservation of products exclusively for production in small-scale and cottage industries in the Industrial Policy Resolution of 1956 disincentivized firms to upscale. This was known as the 'Missing-Middle Phenomenon'. It resulted in a total of 836 products being produced by the small-scale industries without scaling up.
5.	Raise exports	• Generating Economies of Scale and improving product competitiveness will enable a rise in exports and act as a driver for export-led growth.

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NON-STRUCTURAL FACTORS:		
1.	Generate employment	● The potential workforce of India is expected to rise from 8. 85 mn to 1. 08 bn in 20 years. The expected demand for jobs can be catered through a new industrial policy.
2.	Promote Innovation	● An Industrial Policy is needed to take into account the demands of the Fourth Industrial Revolution, such as -Internet of Things, Artificial Intelligence, Robotics etc.
3.	Complement 'Make In India'	● The Policy would facilitate Make in India by complementing it to generate jobs and increase exports of the manufacturing sector.
4.	Optimum Resource Allocation	● The new Industrial Policy should focus on resource efficiency and reduce wasteful usage of resources. ● For instance, it would complement NITI Aayog's Strategy on Resource Efficiency.
5.	Ensure 'Ease ff Doing Business'	● A coherent industrial policy would lead to an increase in the Ease of Doing Business rankings and promote foreign investments. ● For instance, India has been lagging in the contract enforcement in the World Bank rankings. An enabling regulatory ecosystem would lead to better contract enforcement.

Simplified: Case Studies of Industrial Policies.

From India:

IT INDUSTRY : A SUCCESS STORY	AVIATION INDUSTRY : A LAGGARD
Coherent policy measures: ● Investment in creating high speed internet connectivity for IT parks. ● Duty-free import of hardware and software. ● The IT firms were allowed to function under Shops and Establishment Act. So, it was not subject to multiple labour laws. ● Public investment in technical education created low cost-high value human capital.	Non-coherent policy measures: ● Lack of infrastructure (eg- parking space, runways etc.) expansion along with the rise in the number of flights has led to decrease in efficiency. ● Fuel cost as a percentage of operating charges amounts to 45 per cent in India as compared to the global average of 30 per cent. Aviation turbine fuel is outside the GST network resulting in high central and state taxes. As per NITI Aayog, the price of aviation fuel in India may be up to 60 per cent per cent higher than prices in ASEAN and the Middle East countries because of it. ● Lack of a coherent policy led to a large number of competing players in the sector. This resulted in price wars between airline companies and low profits for them.

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	● Low profitability took them to a situation of bankruptcy. ● Ultimately, it has led to the slowing down of investment in an already bleeding sector.

From Across the World:

THE ASIAN MIRACLE	The growth of the four Asian Tigers (Hong Kong, Taiwan, South Korea, Singapore) between the early 1960s and 1990s has been largely attributed to industrial and development policies. It broadly focussed on the following: ● Export-oriented manufacturing. ● Employment of surplus-labour released by agriculture. ● Investment in human capital. ● Graduation from simple, manufacturing consumer goods to more technology and skill intensive goods for export.

WAY FORWARD: A FUTURE READY INDUSTRIAL POLICY

- The industrial ecosystem is changing at a fast pace today. Increasing a country's share in global value chains requires an active state intervention. This needs to be done both at the micro level (ex-focusing on a particular cluster or industry) and the macro level (ex-introducing an industrial policy at the national level).
- In this backdrop, the new industrial policy could focus on the following aspects:

1.	Clear vision & strategic objectives	● Strategic objectives, measurable outcomes and a time frame should be described in the policy. ● The policy should delineate the sectoral objectives along with the broad policy framework.
2.	Establishing global linkages	● India needs to strengthen global linkages. It can strive to achieve it by - creating global brands out of India, promoting value-addition, etc. ● Brand building of Indian SMEs should be given priority. For instance, China's policy of supporting domestic firms led to the emergence of global giants like the Lenovo Computers.
3.	Industrial competitiveness	Competitiveness can be improved by measures such as: ● Reducing the cost of infrastructure, such as power, logistics; Logistics was granted infrastructure status in 2018. This will certainly aid the industrial growth. ● Easing compliance burden; (for example, e-Sanchit has allowed traders to file documents electronically. It has eased trading across borders.) ● Improving labour productivity.
4.	Skills & Employability for the future	The focus should be on: ● Creation of more jobs, jobs to employ the surplus labour moving out of primary sector in coming years etc. It should be backed by robust data systems. For example, The Labour Market Information System (LMIS) is

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		important for identifying skill shortages, training needs and employment created. ● Analysing the effect of automation on employment and undertaking skilling accordingly.
5.	Preparing for the 4th Industrial Revolution	Fourth industrial revolution is driven by digital technologies. India must equip itself with adequate human capital to take advantage of emerging technologies such as artificial intelligence, robotics, nanotechnology etc. The broad framework can be derived from NITI Aayog's Strategy for Artificial Intelligence report.
6.	Technology & Innovation	Education and R & D, which are working in silos, have to be aligned with industry needs. The issue of academia-research institutions-industry linkages needs to be strengthened. For instance, steps like Mentor India Initiative will go a long way in catering to the needs.
7.	Manufacturing & MSME	● Improving formalization of the economy. ● Reforming archaic labour laws. (For example, the government has proposed four labour codes to replace plethora of labour laws.) ● Reducing red tapism by digitizing the processes.
8.	Investment Policy	To boost investment focus should be on: ● Liberalising FDI policy. ● Promoting Joint ventures for technology transfer. ● Boosting local industries by promoting public procurement. ● Incentives for employment and skills rather than for capital investment.
9.	Platform for engagement	The implementation of the policy would depend on how centre and states come on the same page on issues such as labour law reforms, power tariff reforms, etc. Thus, the policy can focus on creating new platforms of engagement like the GST Council. Such platforms provide opportunity to the state and central governments to collaborate.
10.	A liberal IPR regime	● A common grievance of the industry regarding India's IPR regime has been that it does not support innovation creation. ● The new industrial policy can address this by creating an IPR regime where the innovator, academia and industry become stakeholders in the complete process. This would ensure that all are getting value for IPR creation.

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